

Consolidated Financial Statements

Consolidated statement of financial position

in thousands of euros	Note	31 December 2025	31 December 2024
Assets			
Current assets			
Cash and cash equivalents		3,821	6,249
Trade and other receivables	3	1,807	761
Current loan receivables	4	0	200
Inventories	2	58,938	64,141
Total current assets		64,566	71,351
Non-current assets			
Property, plant and equipment		260	288
Intangible assets		0	2
Investment properties	5	11,820	7,980
Financial investments	6	7,837	6,424
Investments in joint ventures		26	0
Non-current loan receivables	4	6,521	2,428
Other non-current receivables		805	340
Total non-current assets		27,269	17,462
Total assets	22	91,835	88,813
Liabilities and equity			
Current liabilities			
Loans and borrowings	7	5,687	23,336
Current lease liabilities		50	52
Prepayments from customers		1,544	724
Trade and other payables	8	6,832	6,542
Total current liabilities		14,113	30,654
Non-current liabilities			
Loans and borrowings	7	42,060	31,352
Non-current lease liabilities		112	162
Other non-current liabilities	9	8,472	4,635
Total non-current liabilities		50,644	36,149
Total liabilities	22	64,757	66,803
Equity			
Share capital		3,913	3,855
Share premium		8,917	8,917
Reserves		385	385
Retained earnings		13,863	8,853
Total equity		27,078	22,010
incl. total equity attributable to owners of the parent		20,858	20,912
incl. non-controlling interest		6,220	1,098
Total liabilities and equity		91,835	88,813

Consolidated statement of profit and loss and other comprehensive income

in thousands of euros	Note	12M 2025	12M 2024	Q4 2025	Q4 2024
Revenue	13, 22	35,414	38,397	4,526	10,542
Cost of sales (-)	14	-29,778	-31,635	-3,832	-8,011
Gross profit		5,636	6,762	694	2,531
Marketing expenses (-)	15	-1,334	-898	-658	-295
Administrative expenses (-)	16	-1,828	-1,802	-472	-460
Other operating income		1,155	449	841	365
Other operating expenses (-)		-270	-179	-59	-143
Operating profit (-loss) of the year	22	3,359	4,332	346	1,998
Financial income	18.1	712	421	390	159
Financial expenses (-)	18.2	-2,685	-2,578	-1,158	-1,159
Profit before tax		1,386	2,175	-422	998
Corporate income tax		-347	-41	-64	-41
Net profit (-loss) for the year		1,039	2,134	-486	957
Attributable to owners of the parent		399	423	-538	578
Non-controlling interest		640	1,711	52	379
Other comprehensive income (-loss)					
Changes related to change of ownership	20	-81	-313	0	-389
Changes in the equity of subsidiaries	20	249	0	249	0
Change in value of embedded derivatives with minority shareholders		-714	-1,874	-180	-671
The effects of changes in foreign exchange rates		-302	-103	73	27
Other comprehensive income (-loss) for the period		-848	-2,290	142	-1,033
Attributable to owners of the parent		491	-504	72	-330
Non-controlling interest		-1,339	-1,786	69	-703
Comprehensive income (-loss) for the period		191	-156	-344	-76
Attributable to owners of the parent		889	-81	-466	248
Non-controlling interest		-699	-75	121	-324
Earnings per share					
Basic (euros per share)		0,10	0,11	-0,14	0,15
Diluted (euros per share)		0,10	0,11	-0,14	0,15

Consolidated statement of changes in equity

in thousands of euros	Attributable to equity owners of the parent				Non-controlling interests	Total equity
	Share capital	Share premium	Reserves	Retained earnings		
Balance of 31 December 2023	3,855	8,917	385	7,836	1,168	22,161
2024						
Net profit/-loss for the year	0	0	0	423	1,711	2,134
Other comprehensive income/-loss for the period	0	0	0	-504	-1,786	-2,290
Voluntary reserve capital	0	0	0	0	5	5
Balance of 31 December 2024	3,855	8,917	385	7,755	1,098	22,010
Balance of 31 December 2024	3,855	8,917	385	7,755	1,098	22,010
2025						
Net profit/-loss for the year	0	0	0	399	640	1,039
Other comprehensive income/-loss for the period	0	0	0	491	-1,339	-848
Voluntary reserve	0	0	0	0	5,821	5,821
Dividends paid	0	0	0	-1,002	0	-1,002
Issue of shares	58	0	0	0	0	58
Balance of 31 December 2025	3,913	8,917	385	7,643	6,220	27,078

Additional information is provided in Note 11.

Consolidated statement of cash flows

in thousands of euros	Note	2025	2024
Net cash flows from (to) operating activities			
Operating profit/(-loss) of the year	22	3,359	4,332
Adjustments for:			
Depreciation of property, plant and equipment		99	204
Other adjustments		-792	0
Income tax paid		-320	0
Changes in working capital:			
Change in trade receivables and prepayments		-1,040	789
Change in inventories	19	4,116	6,464
Change in liabilities and prepayments		2,970	-2,602
Other changes		100	-278
Other non-cash changes		5,859	0
Cash flows from (to) operating activities		14,346	8,909
Net cash flows from (to) investing activities			
Payments for property, plant and equipment		-69	-23
Proceeds from sale of property, plant and equipment		2	0
Payments for intangible assets		0	-3
Payments for financial investments		-1,868	-4,420
Payments for acquisition of joint ventures		-1	0
Payments for acquisition of subsidiaries		-1,422	-1
Net cash inflow from the disposal of subsidiaries		4	1,601
Interest received	4	-4,144	-918
Loans granted		5	39
Cash flows from (to) investing activities		-7,493	-3,725
Net cash flows from (to) financing activities			
Loans raised	7	19,574	37,619
Loan repayments	7	-33,104	-38,869
Proceeds from bond issue (net)	7	7,808	0
Interest paid	19	-3,522	-5,326
Payments of finance lease principal		-10	-9
Payments of right to use lease liabilities		-42	-147
Payments upon demerger of a subsidiary		249	209
Non-controlling interest contributions to share capital		0	-1,537
Share capital payments to a non-controlling interest		0	-134
Dividends paid	11	-1,002	0
Other receipts from financing activities		610	1,738
Other payments from financing activities		-16	-83
Cash flows from (to) financing activities		-9,450	-6,539
Net cash flow		-2,597	-1,355
Cash and cash equivalents at beginning of year		6,249	7,604
Cash and cash equivalents acquired through acquisition of subsidiaries		169	0
Increase/decrease in cash and cash equivalents		-2,428	-1,355
Cash and cash equivalents at end of year		3,821	6,249

Notes to the consolidated interim financial statements

Note 1. General information

Hepsor AS (hereinafter “the Group”) consolidated unaudited interim report for Q4 and twelve months 2025 has been prepared in accordance with IAS 34 Interim Financial Reporting of International Financial Reporting Standards as adopted in the European Union (“IFRS (EU)”). The Group has consistently applied the accounting policies throughout all periods presented, unless stated otherwise. The interim report for Q4 2025 follows the same accounting principles and methods used in the 2024 audited consolidated financial statements. The interim financial statements contain the audited financial results for 2024 and unaudited comparative figures for Q4 2024.

The Group has not made any changes to its critical accounting estimates which may affect the consolidated unaudited interim financial statements for Q4 2025.

The Group has not made any changes to the valuation techniques applied for fair value measurement in 2025.

Note 2. Inventories

Inventories are classified as development projects ready for sale once a usage permit has been granted for the project. As at 31 December 2025, usage permits had been issued for residential development projects located at Manufaktuuri 7, Nõmme tee 57 and Paldiski mnt 227c in Estonia, and at Ranka dambis 5 and Jūrmalas gatve 74 in Latvia. In addition, a partial usage permit had been issued for the commercial real estate development project located at Ulbrokas 34, Latvia. As at 31 December 2025, the Group had 36 unsold apartments in development projects classified as ready for sale (31 December 2024: 30), of which 10 were located in Riga and 26 in Tallinn.

In 2025, the properties located at Alvari 1, 1a and 5 and Narva mnt 150b were reclassified as investment property. Additional information is provided in Note 5.

As at 31 December 2025, the changes in inventories as stated in cash flow statements have been adjusted by loan interest expense. The capitalised loan interest amounted to 1,859 thousand euros (31 December 2024: 3,740 thousand euros). Further information is provided in Note 19.

Project statuses are classified as following:

in thousands of euros	31 December 2025	31 December 2024
A – planning proceedings	11,705	11,624
B – building permit proceedings	4,155	11,083
C – building permit available /construction not yet started	4,928	0
D – construction started / sale started	19,906	19,576
E – construction ready for sale	18,244	21,858
Total inventories	58,938	64,141

The following development projects are stated as inventories:

in thousands of euros				31 December 2025		31 December 2024	
Address	Project company	Location	Segment	Acquisition cost	Project status	Acquisition cost	Project status
Work in progress							
Paldiski mnt 227c, Tallinn	Hepsor 3Torni OÜ	Estonia	Residential	0	-	9,530	E
Narva mnt 150b, Tallinn	Hepsor N450 OÜ	Estonia	Residential/ Commercial	0	-	4,071	A
Manufaktuuri 5, Tallinn	Hepsor Phoenix 3 OÜ	Estonia	Residential/ Commercial	10,776	D	7,556	D
Manufaktuuri 7, Tallinn	Hepsor Phoenix 2 OÜ	Estonia	Residential/ Commercial	0	-	7,260	E
Alvari 2/Paevälja 9, Tallinn	Hepsor Fortuuna OÜ	Estonia	Residential	0	-	1,885	B
Alvari 1, 1a, 5, Tallinn	Hepsor A1 OÜ	Estonia	Residential	0	-	2,022	A
Kadaka tee 197, Tallinn	H&R Residentsid OÜ	Estonia	Residential	1,387	A	1,305	A
Manufaktuuri 12, Tallinn	Hepsor Phoenix 4 OÜ	Estonia	Residential	2,867	D	1,131	B
Vana-Tartu mnt 49, Tallinn	Hepsor VT49 OÜ	Estonia	Commercial	1,295	B	1,153	B
Võistluse 7, Tallinn	Hepsor V7 OÜ	Estonia	Residential	490	B	425	B
Manufaktuuri 3, Tallinn	Hepsor PHX5 OÜ	Estonia	Residential	5,834	A	0	-
Saules alley 2, Riga	Hepsor SA2 SIA	Latvia	Residential	1,082	B	1,079	B
Ulbrokas 34, Riga	Hepsor U34 SIA	Latvia	Commercial	0	-	6,794	D
Braila 23, Riga	Hepsor Jugla SIA	Latvia	Residential	1,681	D	618	B
Ganibu dambis 17a, Riga	Hepsor Ganibu Dambis SIA	Latvia	Commercial	4,928	C	4,431	B
Jūrmalas gatve 74, Riga	Hepsor JG SIA	Latvia	Residential	0	-	5,226	D
Smaidu, Dreilini	Riga Properties 4 SIA	Latvia	Commercial	4,484	A	4,226	A
Eiženijas 18, Riga	Hepsor E18 SIA	Latvia	Residential	546	D	361	B
Dzelzavas 74c, Riga	Hepsor Dz74c SIA	Latvia	Residential	4,036	D	0	-
Starta 17, Riga	Hepsor S17 SIA	Latvia	Residential	1,288	B	0	-
Total work in progress				40,694		59,073	
Ready for sale real estate development							
Manufaktuuri 22, Tallinn (parking spaces)	Hepsor Phoenix OÜ	Estonia	Residential	16	E	16	E
Meistri 14, Tallinn	Hepsor Meistri 14 OÜ	Estonia	Commercial	0	E	0	E
Nõmme tee 57, Tallinn	Hepsor N57 OÜ	Estonia	Residential	122	E	2,349	E
Paldiski mnt 227c, Tallinn	Hepsor 3Torni OÜ	Estonia	Residential	1,884	E	0	-
Manufaktuuri 7, Tallinn	Hepsor Phoenix 2 OÜ	Estonia	Residential/ Commercial	2,380	E	0	-
Strelnieku 4b, Riga	Hepsor S4B SIA	Latvia	Residential	0	-	77	E
Ranka dambis 5, Riga	Hepsor RD5 SIA	Latvia	Residential	671	E	2,626	E
Jūrmalas gatve 74, Riga	Hepsor JG SIA	Latvia	Residential	578	E	0	-
Ulbrokas 34, Riga	Hepsor U34 SIA	Latvia	Commercial	12,593	E	0	-
Total ready for sale real estate development				18,244		5,068	
Total inventories				58,938		64,141	

Note 3. Trade and other receivables

in thousands of euros	31 December 2025	31 December 2024
Trade receivables	1,001	463
Allowance for doubtful receivables	-13	-13
Net trade receivables	988	450
Prepayments		
Tax prepayment		
Value added tax	320	147
Other prepayments for goods and services	59	113
Total prepayments	379	260
Other current receivables		
Interest receivables	2	2
Other current receivables	438	49
Other current receivables	440	51
Total trade receivables	1,807	761

Note 4. Loans granted

in thousands of euros	Unrelated legal entities	Related legal entities (Note 23)	Total
2025			
Loan balance as at 31 December 2024	200	2,428	2,628
- current portion	200	0	200
- non-current portion	0	2,428	2,428
Loan granted	296	4,144	4,440
Elimination of loan on acquisition of subsidiary	-296	0	-296
Demerger of subsidiary	-200	0	-200
Effect of the effective interest rate	0	-51	-51
Loan balance as at 31 December 2025	0	6,521	6,521
- current portion	0	0	0
- non-current portion	0	6,521	6,521
Contractual interest rate per annum	0-12%	7-12%	
Effective interest rate per annum	0%	6.47-17.17%	
2024			
Loan balance as at 31 December 2023	311	1,729	2,040
Loan granted	200	718	918
Division of subsidiary	-311	0	-311
Effect of the effective interest rate	0	-19	-19
Loan balance as at 31 December 2024	200	2,428	2,628
- current portion	200	0	200
- non-current portion	0	2,428	2,428
Contractual/effective interest rate per annum	0%	6.7%-7%	

Note 5. Investment properties

Hepsor M14 OÜ's office building development project in Tallinn, Meistri 14 was completed in 2021. As at 31 December 2024, the building was classified as a property investment which is measured at fair value. The Group performed the valuation using the five-year discounted cash flow method. Since the purpose of the property investment is to generate rental income, the method used reflects best the fair value of the property investment. The valuation is based on existing cash flows, the rate of return, and an appropriate discount rate that takes into account the expected return of similar assets for average investors. At the end of 2025, return rate of 7.7% and discount rate of 8.1% were used for the asset valuation. As at 31 December 2025, the fair value of the asset was estimated at 8.0 (31 December 2024: 8.0) million euros.

During the reporting period, the properties located at Alvari 1, 1a and 5 and Narva mnt 150b in Tallinn were reclassified from inventories to investment property. The Group does not plan to undertake development activities on these properties and holds them with the objective of earning returns from capital appreciation. In determining the fair value of the Alvari Street properties, which are designated as residential land, the Group relied on transaction prices of comparable properties in the vicinity during the reporting period. The fair value of the property located at Narva mnt 150b, which is designated as commercial land, was determined on the basis of a valuation prepared by an independent expert. As at 31 December 2025, the fair value of these properties amounted to 3.8 million euros.

Note 6. Financial investments

Tatari 6A Arenduse OÜ, where the Group holds 80% shareholding, is accounted as financial investment. The Group is providing management services for the project. In order to ensure the quality and control of the management process, the Group will hold an 80% shareholding in the company during the development period, which will be transferred to the co-owner at the end of the development process. The Group has no profit share in the project. The acquisition value of the financial investment is 2 thousand euros.

Between 2023 and 2025, the Group invested in a total of five joint ventures in Canada. These joint ventures are accounted for using the equity method. In 2023, the Group invested in two joint ventures: Weston Limited Partnership and Elysium Isabella Limited Partnership. In 2024 and 2025, three additional joint ventures were established: Elysium Glenavy Limited Partnership, Brownville Limited Partnership, and EH High Park Limited Partnership.

As at 31 December 2025, the carrying amount of the financial investments is 7,835 thousand euros (31 December 2024: 6,424 thousand euros).

Note 7. Loans and borrowings

- ✓ In February 2025, Hepsor AS signed an amendment to the loan agreement with AS LHV Pank, reducing the Group loan facility limit from 9 million euros to 6 million euros. The loan maturity date was 12 March 2026. The Group loan was repaid early on 27 November 2025.
- ✓ On 12 August 2025, a new loan agreement in the amount of 2 million euros was signed with AS LHV Pank. The loan is secured by mortgages established over properties owned by subsidiaries of the Hepsor AS Group located in Lasnamäe, Tallinn.
- ✓ In addition to the bank loan, a joint mortgage in the amount of 2.75 million euros has been established in favour of unrelated legal entities over the properties of the Group company Riga 4 Properties SIA as security for the loan until the loan obligation is fulfilled.
- ✓ In November 2025, Hepsor AS raised 8 million euros from investors under a public bond programme. The bonds carry an annual interest rate of 9.50%. The first interest payment will be made on 26 February 2026. Bond issuance costs amounted to 192 thousand euros.

As at 31 December 2025, the Group has the following loan obligations:

in thousands of euros	Bank loans	Bonds	Unrelated legal entities	Related legal entities (Note 23)	Total
2025					
Loan balance as at 31 December 2024	33,828	0	19,489	1,371	54,688
- current loan payable	17,753	0	4,345	1,238	23,336
- non-current loan payable	16,075	0	15,144	133	31,352
Received	14,627	8,000	4,947	0	27,574
Repaid	-25,249	0	-6,617	-1,238	-33,104
Elimination of loan on acquisition of subsidiary	0	0	-1,226	0	-1,226
Bond issuance costs	0	-192	0	0	-192
Effect of the effective interest rate	114	5	-112	0	7
Loan balance as at 31 December 2025	23,320	7,813	16,481	133	47,747
- current loan payable	1,558	0	4,129	0	5,687
- non-current loan payable	21,762	7,813	12,352	133	42,060
Contractual interest rate per annum	EU6+3.25%-8%; 5.46%	9.50%	0-15%	0-12%	
Effective interest rate per annum	EU6+3.25%-8%; 5.46%	10.35%	9.16-11.67%	5.57-9.85%	
2024					
Loan balance as at 31 December 2023	36,309	0	19,213	1,383	56,905
Received	28,221	0	4,688	4,710	37,619
Repaid	-29,296	0	-4,851	-4,722	-38,869
	-1,300	0	0	0	-1,300
	-106	0	439	0	333
Total loan balance as at 31 December 2024	33,828	0	19,489	1,371	54,688
- current loan payable	17,753	0	4,345	1,238	23,336
- non-current loan payable	16,075	0	15,144	133	31,352
Contractual interest rate per annum	EU6+3.75%-5.9%; 5.5%		0-12%	7-12%	
Effective interest rate per annum	7.34-13.7%		5.6%-10.6%	8.9%	

As at 31 December 2025, 79% (31 December 2024: 89%) of all loans granted to the Group have been received against the risk of development projects.

in thousands of euros	Bank loans	Bonds	Unrelated legal entities	Related legal entities	Total
Balance as at 31 December 2025					
Loans for development projects	21,320	0	16,481	133	37,934
Loans to headquarters to finance development projects	2,000	7,813	0	0	9,813
Total	23,320	7,813	16,481	133	47,747
Balance as at 31 December 2024					
Loans for development projects	27,888	0	19,489	1,371	48,748
Loans to headquarters to finance development projects	5,940	0	0	0	5,940
Total	33,828	0	19,489	1,371	54,688

As at 31 December 2025, the Group had the following bank loans under the following conditions:

Lender	Country	Loan balance	Contract term	Loan limit	Interest per annum	Collateral	Cost value of the collateral (Note 2, 5)	Guarantee given
LHV Pank AS	Estonia	4,523	2027	4,900	5.46%	Mortgage - Meistri 14, Tallinn	7,980	-
LHV Pank AS	Estonia	940	2026	13,900	6M Euribor+4.5%	Mortgage - Paldiski mnt 227c, Tallinn	1,884	-
LHV Pank AS	Estonia	166	2026	5,758	6M Euribor+4.5%	Mortgage - Manufaktuuri 7, Tallinn	2,380	-
LHV Pank AS	Estonia	1,549	2029	7,600	6M Euribor+8%	Mortgage - Manufaktuuri 5 and 3, Tallinn	10,776	3,000
LHB Pank AS	Estonia	870	2029	7,000	6M Euribor+5.5%	Mortgage - Manufaktuuri 12 and 3, Tallinn	2,867	-
Bigbank AS	Latvia	1,850	2028	2,000	6M Euribor+4.5%	Mortgage - Ganību dambis 17A Riga; Commercial pledge	4,928	-
Bigbank AS	Latvia	168	2026	3,259	6M Euribor+4.9%	Mortgage - Ranka dambis 5, Riga	671	460
Bigbank AS	Latvia	136	2028	4,000	6M Euribor+4.6%	Mortgage - Jūrmalas gatve 74, Riga	578	430
Bigbank AS	Latvia	8,838	2027	9,000	6M Euribor+4.4%	Mortgage - Ulbrokas 34, Riga; Commercial pledge	12,593	890
Bigbank AS	Latvia	1,853	2028	8,600	6M Euribor+4.4%	Mortgage - Dzelzavas 74c, Riga	4,036	430
BluOr Bank AS	Latvia	429	2030	11,990	6M Euribor+3.4%	Mortgage - Braila 23, Riga	1,681	-

As at 31 December 2024, the Group had the following bank loans under the following conditions:

Lender	Country	Loan balance	Contract term	Loan limit	Interest per annum	Collateral	Cost value of the collateral (Note 2, 5)	Guarantee given
LHV Pank AS	Estonia	4,664	2027	4,900	5.46%	Mortgage - Meistri 14, Tallinn	7,980	-
LHV Pank AS	Estonia	4,746	2026	13,900	6M Euribor+4.5%	Mortgage - Paldiski mnt 227c, Tallinn	9,530	-
LHV Pank AS	Estonia	1,105	2026	2,450	6M Euribor+4.5%	Mortgage - Nõmme tee 57, Tallinn	2,349	-
LHV Pank AS	Estonia	5,678	2026	5,758	6M Euribor+4.5%	Mortgage - Manufaktuuri 7 and Manufaktuuri 12, Tallinn	7,260	-
Bigbank AS	Latvia	1,900	2025	2,000	6M Euribor+5.2%	Mortgage - Ganību dambis 17A Riga; Commercial pledge	4,431	-
Bigbank AS	Latvia	2,138	2026	4,000	6M Euribor+5.2%	Mortgage - Ranka dambis 5, Riga	2,626	460
Bigbank AS	Latvia	3,945	2026	4,000	6M Euribor+4.4%	Mortgage - Jūrmalas gatve 74, Riga	5,226	1,000
Bigbank AS	Latvia	3,765	2027	9,000	6M Euribor+4.4%	Mortgage - Ulbrokas 34, Riga; Commercial pledge	6,794	890

Note 8. Trade and other payables

in thousands of euros	31 December 2025	31 December 2024
Trade payables	1,588	1,138
Taxes payable		
Value added tax	274	663
Personal income tax	42	40
Social security tax	68	65
Corporate income tax	69	41
Other taxes	71	7
Total taxes payable	524	816
Accrued expenses		
Payables to employees	156	113
Interest payable (Note 19)	915	1,011
Other accrued expenses	628	67
Total accrued expenses	1,699	1,191
Other current payables		
Embedded derivatives (Note 10)	2,589	2,074
Other payables	432	1,323
Total other current payables	3,021	3,397
Total trade and other payables	6,832	6,542

Note 9. Other non-current liabilities

in thousands of euros	31 December 2025	31 December 2024
Non-current interest payables (Note 19)	3,468	2,539
Other non-current payables	3,162	2,096
Deferred income	1,842	0
Total other non-current liabilities	8,472	4,635

Note 10. Embedded derivatives

Liabilities assumed by the Group to minority shareholders in accordance with the concluded shareholders' agreements are recognised as embedded derivatives. According to shareholders agreements the profit is shared with minority shareholders in the form as it is agreed in the agreement.

As at the end of the reporting periods, the Group had obligations arising from embedded derivative instruments in the following development projects due to the partial or complete realisation of the business plan of the development project:

in thousands of euros	31 December 2025	31 December 2024
<i>Residential development project in Gregora iela 2a, Riga</i>	0	200
<i>Residential development project in Manufaktuuri 7, Tallinn</i>	2,589	1,874
Total change in liabilities arising from embedded derivatives	2,589	2,074